ANSWER KEY & MARKING SCHEME SET 1

Chapter 19: **Money and Credit (Economics)** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(c)** one who has collateral and documents	Banks demand them
2	**(c)** the law of the country authorises it	No one can refuse payment in rupees
3	**(b)** lower interest	Formal credit is cheaper
4	**(b)** Reserve Bank of India	On behalf of the central government
5	**(d)** formal source of credit	They are supervised by the RBI
6	**(b)** exchanging wheat for cloth	No money is used
7	**(b)** women from a neighbourhood	15 to 20 members
8	**(a)** informal credit	Not supervised
9	**(a)** currency	A modern form of money
10	**(a)** credit	Money borrowed to be repaid with interest

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	To earn higher interest than they pay on deposits (1); To use the deposits productively (1).	1+1
12	Deposit that can be withdrawn on demand (1); Payments can be made using cheques (1).	1+1
13	The price of borrowing money (1); Paid by the borrower to the lender (1).	1+1
14	Asset pledged as guarantee for a loan (1); Land, buildings or livestock (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	To meet daily withdrawals (1); Only a few depositors withdraw at a time (1); The rest is lent (1).	1+1+1
16	They lack the collateral that banks require (1); Banks may be far from their villages (1); Informal lenders give loans easily and quickly (1).	1+1+1
17	Guarantee for the lender (1); Sold if the borrower fails to repay (1); Allows lender to recover payments (1).	1+1+1
	OR: It supervises the banks (1); It sees that banks maintain a cash balance (1); It ensures that banks give loans to all types of borrowers, including small ones (1).	1+1+1
18	The loan may fail to give the income that was expected (1); Interest keeps accumulating on the unpaid loan (1); The borrower may have to sell assets to repay (1).	1+1+1
	OR: Currency: paper notes and coins (1); Deposits with banks that can be withdrawn on demand (1); Cheques are used for payment (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Formal: banks and cooperatives; informal: moneylenders etc. (1); RBI supervises formal (1); No supervision for informal (1); Interest higher in informal (1); Informal may lead to debt trap (1).	1+1+1+1+1
	OR: Collateral guarantees repayment (1); The lender can sell if default (1); Documents prove identity and ability (1); Poor may lack them (1); They face difficulty getting loans (1).	1+1+1+1+1
20	Currency consists of paper notes and coins (1); Currency notes are issued by the RBI on behalf of the central government (1); The law accepts the rupee as a means of payment that cannot be refused (1); Deposits in bank accounts are demand deposits (1); Payments can be made from them using cheques (1).	1+1+1+1+1
	OR: Banks accept deposits and pay interest on them (1); They keep a small part of the deposits as cash to meet daily needs (1); They use the major part of the deposits to give loans (1); They charge a higher interest rate on loans than on deposits (1); The difference is their main source of income (1).	1+1+1+1+1

Mistakes to avoid:

- Saying that the **Government of India** or any bank can issue currency notes; in India only the **Reserve Bank of India** issues them on behalf of the central government.
- Thinking that a cheque is money; a cheque is only a **paper instruction** to the bank, and the **demand deposit** is the money.
- Confusing **collateral** (borrower's asset kept as security) with **interest** (price paid for the loan) and forgetting that **terms of credit** include interest, collateral, documentation and repayment mode.
- Placing **cooperatives** among informal lenders; formal = banks and cooperatives; informal = moneylenders, traders, employers, relatives and friends.
- Writing that banks lend at the same rate they pay on deposits; they charge a **higher** rate on loans, and the difference is their main source of income.
- Believing credit always helps: it helps Salim, but pushes Swapna into a **debt trap** when her crop fails; the outcome depends on the risk and on support in case of loss.

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

MASTERMIND

ANSWER KEY & MARKING SCHEME SET 2

Chapter 19: **Money and Credit (Economics)** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(c)** demand deposit	A modern form of money
2	**(d)** production	Credit helps production
3	**(d)** money	It makes buying and selling easier
4	**(c)** cheque	Used to make payment from a bank account
5	**(a)** formal source of credit	Supervised by the RBI
6	**(d)** safety and interest	They can withdraw on demand
7	**(b)** Reserve Bank of India	It ensures safety
8	**(c)** lower than on loans	Banks earn the difference
9	**(a)** debt trap	Often because of crop failure
10	**(b)** save regularly and lend to each other	Group lending

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Something accepted for buying and selling goods (1); Money serves this role (1).	1+1
12	A group of 15 to 20 members, mostly women (1); They save and lend to members (1).	1+1
13	Banks are a formal source of credit (1); Cooperative societies are also a formal source (1).	1+1
14	A situation of continuing debt (1); The borrower cannot repay (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Formal: banks, cooperatives; informal: moneylenders (1); Formal supervised by RBI (1); Informal charge high interest (1).	1+1+1
16	15 to 20 members, mostly women (1); Save regularly (1); Provide loans from savings (1).	1+1+1
17	It helps people to carry on production (1); It raises their incomes (1); It reduces the risk of falling into a debt trap (1).	1+1+1
	OR: The rate of interest charged on the loan (1); The collateral and documents required (1); The mode of repayment of the loan (1).	1+1+1
18	Rupee is authorised by the government (1); No one can refuse payment in rupees (1); Only RBI issues currency (1).	1+1+1
	OR: Buy seeds and fertilisers (1); Higher production (1); Income to repay and profit (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Informal credit is expensive (1); The poor lack collateral to get formal loans easily (1); Banks can lend at lower rates of interest (1); It reduces the chances of a debt trap (1); It supports production and development (1).	1+1+1+1+1
	OR: Grameen Bank in Bangladesh (1); Lends to poor mainly women without collateral (1); SHGs of 15 to 20 members (1); Save regularly (1); Loans at reasonable interest (1).	1+1+1+1+1
20	The rate of interest is the cost of borrowing (1); Collateral is the asset pledged as a guarantee (1); Documentation requirements are the papers needed for the loan (1); The mode of repayment says how and when the loan is repaid (1); These terms differ from one loan to another (1).	1+1+1+1+1
	OR: Credit can finance production and business (1); It can raise income and profit when the venture succeeds (1); If the venture fails, the loan cannot be repaid (1); Interest keeps piling up (1); The borrower may fall into a debt trap (1).	1+1+1+1+1

Mistakes to avoid:

- Saying that the **Government of India** or any bank can issue currency notes; in India only the **Reserve Bank of India** issues them on behalf of the central government.
- Thinking that a cheque is money; a cheque is only a **paper instruction** to the bank, and the **demand deposit** is the money.
- Confusing **collateral** (borrower's asset kept as security) with **interest** (price paid for the loan) and forgetting that **terms of credit** include interest, collateral, documentation and repayment mode.

- Placing **cooperatives** among informal lenders; formal = banks and cooperatives; informal = moneylenders, traders, employers, relatives and friends.
- Writing that banks lend at the same rate they pay on deposits; they charge a **higher** rate on loans, and the difference is their main source of income.
- Believing credit always helps: it helps Salim, but pushes Swapna into a **debt trap** when her crop fails; the outcome depends on the risk and on support in case of loss.

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ANSWER KEY & MARKING SCHEME SET 3

Chapter 19: **Money and Credit (Economics)** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(a)** informal source of credit	No one supervises moneylenders
2	**(d)** collateral	It can be sold if the loan is not repaid
3	**(c)** interest	Charged on loans
4	**(c)** Bangladesh	It lends to the poor
5	**(d)** interest	They charge more than they pay depositors
6	**(c)** collateral	Land is an example
7	**(c)** barter	It needs a double coincidence of wants
8	**(d)** cash	The rest is lent out
9	**(c)** demand deposits	It makes deposits function as money
10	**(c)** cattle	Cattle were used in barter

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Exchange of goods for goods without money (1); Needs a double coincidence of wants (1).	1+1
12	Reserve Bank of India (1); It monitors bank cash balance and loans (1).	1+1
13	Reserve Bank of India (1); On behalf of the central government (1).	1+1
14	Moneylenders (1); Traders, relatives or employers (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Borrowers pay a large part of income as interest (1); Little left for the family (1); May lead to a debt trap (1).	1+1+1
16	Payment without carrying cash (1); Safe transfer from one account to another (1); Make deposits function as money (1).	1+1+1
17	It lends to the poor without asking for collateral (1); Its borrowers are mainly women (1); Its loans are repaid in large numbers (1).	1+1+1
	OR: It gives them loans without collateral (1); The interest charged is reasonable (1); Members also discuss social issues such as health and nutrition (1).	1+1+1
18	Needs double coincidence of wants (1); Difficulty in finding someone with matching need (1); No common standard of value (1).	1+1+1
	OR: They keep a small part of deposits as cash (1); Lend the rest (1); Charge higher interest on loans than on deposits (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	The poor get credit without collateral (1); The interest rates are reasonable (1); The group encourages regular savings (1); Women gain confidence and independence (1); Members discuss social issues together (1).	1+1+1+1+1
	OR: Barter is the exchange of goods for goods without using money (1); It requires a double coincidence of wants (1); It is difficult to find a partner whose wants match (1); It makes exchange slow and difficult (1); Money solves these problems as a medium of exchange (1).	1+1+1+1+1
20	They can buy inputs such as seeds and raw materials (1); They can expand production (1); They can earn more income (1); They can repay the loan from the income (1); They can invest again in their work (1).	1+1+1+1+1
	OR: It issues currency notes on behalf of the central government (1); It supervises the banks (1); It monitors whether banks maintain the required cash balance (1); It ensures that small borrowers also get loans (1); It helps to safeguard the deposits of the public (1).	1+1+1+1+1

Mistakes to avoid:

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